FinGuard Bank Financial Crime Investigation and SAR Escalation Procedure

Synthetic document for the FinGuard AI learning project. FinGuard Bank is fictional; this is not legal or regulatory advice.

1 Opening a case

An investigation case is opened when a Level 1 analyst escalates an alert, when several alerts relate to the same customer or network, or on referral from another department. Each case receives a unique reference and an owner.

2 Evidence standards

Every finding in an investigation must reference its supporting evidence: transaction identifiers, customer and account identifiers, model version and score, graph pattern or network identifiers, and the policy sections relied upon. AI-generated observations must be labelled as such and verified by the investigator.

3 Investigation report contents

The investigation report contains: a summary, customer information, suspicious transaction patterns, machine-learning findings, graph analysis, compliance references, supporting evidence, recommended next steps, the human reviewer decision and the final case status.

4 Decision and approval

Investigation outcomes are proposed by the investigator and approved by an Investigation Manager. Possible decisions are: close with no further action, request additional investigation, escalate to the MLRO for SAR consideration, or recommend relationship exit. The four-eyes principle applies to every closure of a case that contained a HIGH or CRITICAL alert.

5 SAR filing timeline

When the MLRO decides that a report is required, the SAR is filed with the Financial Intelligence Unit within 5 business days of that decision. If a transaction is still pending and suspicion exists, the bank should refrain from executing it until it has informed the FIU, where the law permits.

6 Case closure and retention

Closed cases record the decision, approver, date and rationale. Case files, including evidence and AI execution traces, are retained for 5 years.